

Q3 2024

Custom Managed Portfolios

Lazard Asset Management International Equity

Quick facts

Asset class:
International Large cap

Management style:
Relative Value ¹

Number of holdings:
69

Sub-advisor:
Lazard Asset Management

Portfolio manager:
Aviso Wealth

Minimum investment:
\$150,000

Inception Date:
July 1, 2013



What does the strategy invest in?

This strategy focuses on long-term capital growth supplemented by dividend income attained through the investment in a diversified basket of Canadian and foreign (mostly US) large capitalization equities.

How has the strategy performed?

Average annual compound returns

	3 month	YTD	1 yr	3 yr	5 yr	10 yr	SI
Portfolio	8.39%	16.83%	25.95%	6.34%	7.07%	5.97%	6.66%
Benchmark ⁵	5.96%	16.27%	25.26%	8.31%	8.95%	6.76%	7.42%

Calendar year returns

	2023	2022	2021	2020	2019	2018	2017
Portfolio	16.03%	-12.56%	4.82%	9.16%	14.02%	- 7.21%	27.68%
Benchmark ⁵	15.67%	- 7.77%	10.82%	5.38%	16.45%	- 5.55%	25.03%

Standard deviation	8.43%	Sortino ratio	0.93	Downside capture	97%
Sharpe ratio	0.60	Beta (Equity)	0.98	Upside capture	104%

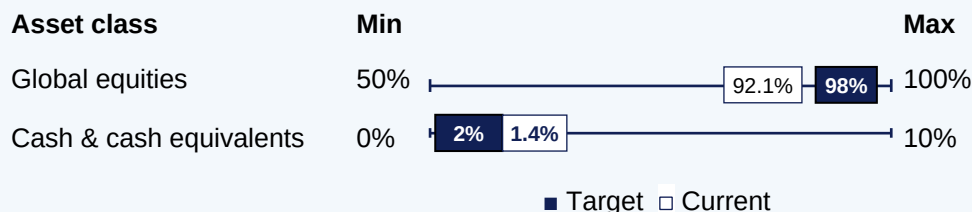
Largest holdings

1. UNILEVER PLC S/ NEW	4.0%	6. ADIDAS AG S/	2.4%
2. NOVO NORDISK AS	3.6%	7. ASML HOLDING NV	2.4%
3. RELX PLC SPONSORED	3.5%	8. COMPASS GROUP PLC SPONS	2.2%
4. RYANAIR HOLDINGS PLC ADS	3.4%	9. ABB LTD S/	2.0%
5. AON PLC A	2.7%	10. AIR LIQUIDE	1.9%

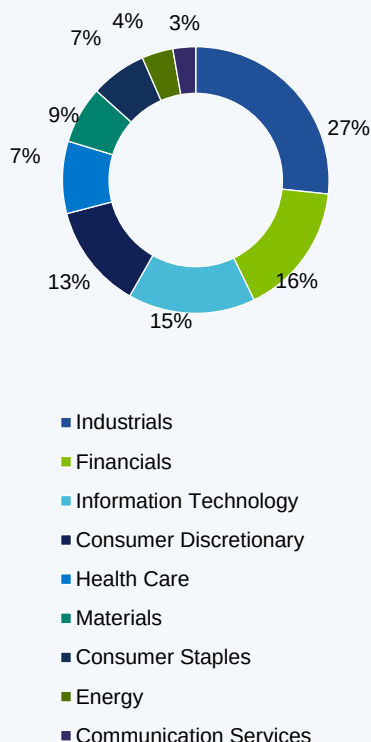
Portfolio attributes

Dividend yield	Average Trailing P/E	Average Forward P/E	Average Trailing P/S	Average Forward P/S	Average market cap	Portfolio turnover
1.97%	23.28	17.92	3.48	3.30	\$90.98 B	28%

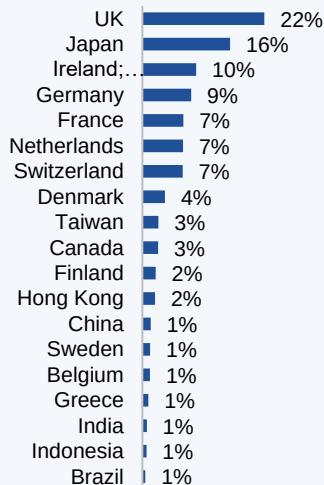
Target allocations



Sector breakdown



Geographic allocation



Quarterly commentary

Market Overview

- International markets were strong during the quarter adding to gains for the past year
- Despite concerns about slowing economic growth, earnings estimates have proven resilient and continue to rise
- Chinese coordinated monetary stimulus drove stocks higher at the end of the quarter
- The yen rose 12.5% during the quarter as the BoJ raises rates
- Interest rate sensitive sectors (real estate / utilities) led while cyclical sectors (semiconductors / energy) significantly underperformed
- Low quality stocks outperformed by a wide margin during the quarter

International equities continued to rally in the third quarter and were supported by the combination of resilient corporate profits and lower interest rates. Despite an extraordinary rate hike cycle post COVID, corporate profits have remained not only resilient, but expectations in the market are also improving as we head into next year. After a strong earnings season during the third quarter, full year 2024 earnings growth expectations have risen to 10%. And consensus expectations for 2025 call for a similar level of earnings growth.

Despite this corporate profit resilience, valuations remain very much in line with history and at historic discounts to the US.

The market broadened during the third quarter to include more rate-sensitive sectors such as real estate and utilities but at the expense of some cyclical sectors like technology (semiconductors in particular) and energy.

The market also broadened from a regional perspective. Early in the quarter investors became nervous about the prospect for higher rates in Japan which led to a short-term plunge in Japanese equities as a result. The Japanese market has since recovered when measured in US dollars due in part to the Yen which strengthened 12.5% during the quarter.

Chinese equities rallied over 20% late in the third quarter after a long period of underperformance. The rally in this very inexpensive market was catalyzed by coordinated monetary stimulus from the central government. While previous iterations of policy stimulus did not have this effect, the deeply discounted valuations coupled with more significant policy coordination resulted in a strong move for equities.

Portfolio Review

During the third quarter, Lazard International Equity Select with Emerging Markets (EAFE) ADR rose 7.4% (net of fees), performing in line with the MSCI EAFE Index which rose a very strong 7.3%. On a year-to-date basis the Lazard International Equity Select with Emerging Markets (EAFE) ADR strategy has risen 15.9% (net of fees), nearly 3% ahead of the MSCI EAFE Index.

The international equity market has been less driven by extremes as it was during the COVID pandemic period of 2020-2023, the return to a more fundamental market over the past year has provided a better environment for stock picking. Stock selection during the quarter and year-to-date period has been positive across both sectors and regions.

Outlook

- Geopolitical risks abound - Middle East, China, Russia, US elections, etc.
- Post COVID rate hike cycle is over as the Fed joins the ECB Bank in lowering policy rates
- International valuations at historic discounts vs lofty US levels

As the rate of inflation continues to fall and labor markets begin to weaken, central banks have become more unified in their effort to support global growth through lower policy rates. The Fed joined the ECB by lowering policy rates by 50 basis points (bps) at their September meeting, a slightly more aggressive move than consensus had expected. This policy shift could be supportive of quality cyclicals, which have underperformed, as the durability of competitive advantages, in our view, will become a critical differentiator as the market transitions to this new regime.

The Chinese equity market rose over 20% in the quarter, much of that in the last week. While the spark that lit the fire under Chinese stocks was coordinated monetary policy stimulus, the dry tinder that provided the fuel for the sharp rally was very cheap valuations. Rising valuations mean that expectations for corporate profit growth have also risen. We won't know whether or not the stimulus will have a meaningful impact on the Chinese consumer for some time as home prices continue to fall and consumer confidence is very weak. Valuations have moved higher on a low base, but earnings improvement remains an outstanding question.

Japan has been a market of heightened investor attention this year as increasing focus by corporate managements on improving their depressed levels of financial productivity has led to positive earnings growth and some expectation for valuation re-rating. While the BoJ has made it clear they want to raise policy rates amidst a backdrop of some structural inflation, it remains a difficult balancing act with a stronger currency. If Japan raises rates in a world where most central banks are lowering them, there is potential the Yen could strengthen too much, as was feared in early August when the Yen carry trade rapidly unwound and the Japanese equity market fell over 15% in a matter of days. While Japanese equities quickly rebounded, they ultimately underperformed the broader market in the third quarter and the year-to-date period. Our analysts and portfolio managers have spent considerable time in Japan meeting with companies over the past year, as we always do. When we identify high-quality companies with attractive valuations or companies with solid idiosyncratic prospects for improvement in financial productivity that has not already been captured in valuation by the market, we are happy to invest.

Geopolitical risks remain active, and likely always will. The outcome of the US Presidential election will be unpredictable and so will the winners' policy initiatives. We continue to expect the market to be more driven by fundamentals than style or macroeconomic factors going forward. As such, our portfolio is well balanced between different sources of alpha (compounders/ mispriced / improvers) enabling us to source relative performance from different areas of the market. Having this balance should enable stock selection to drive performance. We expect that outperforming stocks will broadly come from companies with strong pricing power, companies that can deliver in-line or better than expected margins and companies with less levered balance sheets. And the extremely discounted valuations for international stocks should provide support for international equities going forward.

Investment manager overview



Since 1848, Lazard has remained a trusted advisor to governments, financial institutions, public and private retirement plans, and individuals around the world.

Lazard Asset Management is the principal asset management subsidiary of Lazard Ltd., and today represents approximately half of the firm's revenue. With more than 300 investment personnel in 18 cities across 13 countries, Lazard Asset Management offers investors an array of traditional and alternative investment solutions. We believe our global reach, unique identity, diverse product platform, and strong client relationships will allow us to maintain our preeminent position in the marketplace.

Investment philosophy

Lazard's investment philosophy is based on value creation through the process of bottom-up stock selection. Our relative value philosophy is implemented by assessing the relationship between valuation and financial productivity for an individual security. We believe that financial productivity (the return a company generates) measures how effectively a company is putting its shareholders' capital to work – and ultimately this drives valuation. Assessing a company's financial productivity is an important part of our research process, as it is critical to assessing a company's value.

We believe that the best companies often sustain higher levels of financial productivity for longer than the market expects, leading to valuation opportunities and market inefficiencies. We also believe that opportunities exist among companies to improve returns, but less often than investors.

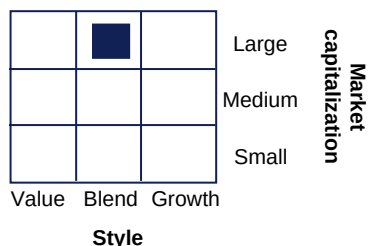
Investment process and risk controls

After the initial research process, stocks are selected by the portfolio management team from the wide range of ideas generated by Lazard's global equity investment professionals. For a stock to be purchased in the strategy, an investment thesis is prepared which typically covers a wide range of factors, such as: business analysis, including direction and sustainability of returns; financial modeling, including accounting validation and detailed valuation work; research edge, and what factors will make the market correct its valuation of the stock; and finally, key investment risks.

This thesis is formally documented but more importantly, it is tested rigorously through discussions with the portfolio management team. The team is usually involved in company meetings and often requires further information and analysis before reaching a conclusion. The portfolio management team and analysts work closely together to build conviction on investment ideas, creating a team culture that helps to optimize decision making.

Lazard uses a three-tiered approach to risk management, which begins during the research process. In addition to accounting validation, the portfolio management team considers corporate governance, the overall macroeconomic environment, as well as political factors that could impact each company considered for purchase

Equity style²



About Aviso Wealth

Aviso Wealth is part of Aviso, one of Canada's largest independent wealth management firms. Owned by the credit unions, we serve hundreds of thousands of investors at credit unions across Canada.

With approximately \$130 billion of assets under administration and management, Aviso has the resources to bring the best products and services to credit unions and their members. Invest with confidence, with your credit union and Aviso.

- Nearly 30 years as the wealth management provider to credit unions across Canada
- One of Canada's largest independent wealth management firms
- Parent company of Aviso Wealth, NEI Investments, and Qtrade
- Owned by Canada's credit unions and Desjardins



¹ Relative Value – Investing style that focuses on relative company to competitor value, in addition to absolute and intrinsic value

² Style represents the aggregate characteristics of the underlying holdings within this model. Market capitalization measures the aggregate market value of the outstanding shares of a company. Large-cap stocks are defined as the group that accounts for the top 70% of the capitalization of each geographic area; mid-cap stocks represent the next 20%; and small-cap stocks represent the balance.

The return data is as at September 30, 2024. Indicated rates of return are historical annual compounded total returns including reinvestment of all distributions for the period ended, and do not take into account management expenses, account sales, redemption, distribution or optional charges or income taxes payable by any security holder that would have reduced returns.

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⁵ The benchmark is MSCI EAFE NR Index (CAD)

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